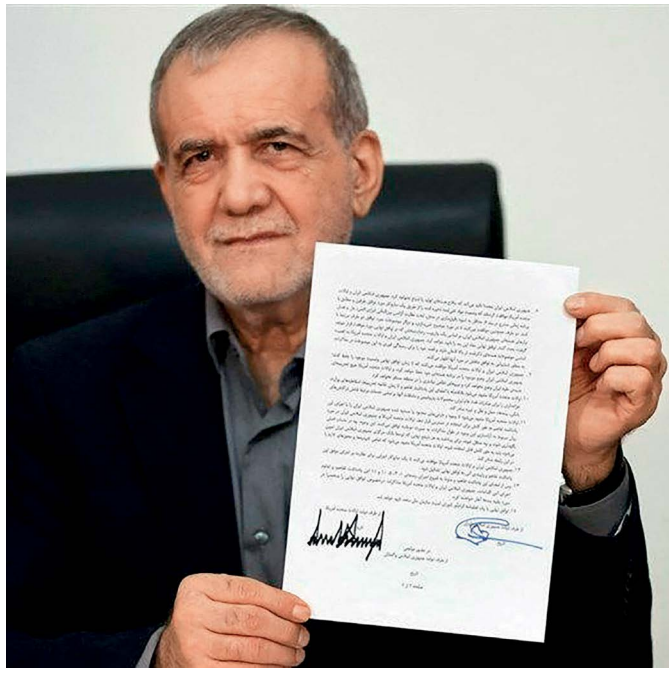




AFP

RETURN TO TALKS Far left, US president Donald Trump signs the US-Iran MoU in Versailles, Jun. 18; Iran president Masoud Pezeshkian with the signed document in Tehran

taken a military and economic beating. Oil exports were disrupted. China, its major buyer, cut back sharply because flows were uncertain. Revenue streams were drying up. The regime may have been able to endure, but endurance has a price. The MoU gives Tehran time, some economic relief and a chance to extract further concessions.

The most immediate relief is over the Strait of Hormuz, through which a large share of the world's oil and gas trade passes. Its reopening is a major gain for the global economy and for India. But even here, the picture is not entirely reassuring. Iran has reminded the world of the leverage that Hormuz gives it. If Iran later seeks to convert passage into service fees, escort charges or regulatory costs, the politics of Hormuz will begin to enter the price of every barrel. India could end up paying more per barrel not because of crude prices alone, but because of the politics of passage.

Sanctions relief is the other major inducement. The agreement appears to offer Iran access to some frozen assets and oil-related waivers, though the precise mechanism matters. Trump will not want to be seen as transferring cash directly to Tehran. So, funds may be released through controlled channels, possibly for humanitarian or approved purchases routed through third countries.

The nuclear issue is the hinge on which the next phase will turn. There is speculation that Iran may accept a temporary halt or restriction on enrichment for a fixed period. If such a verifiable freeze is agreed to, Trump could claim that he has secured more restrictions than Obama, as under the JCPOA there was no freeze on enrichment. But that remains uncertain. Iran's facilities have reportedly suffered damage, which may make a temporary halt less costly for Tehran than it appears. The bigger problem is verification. International Atomic Energy Agency access, satellite monitoring and accounting for existing stocks will be critical. No one can be comfortable if large quantities of enriched uranium remain unaccounted for or if undisclosed sites exist.

THE CRISIS EXPOSED A STRATEGIC IMBALANCE: INDIA'S DEPENDENCE ON WEST ASIA FAR EXCEEDS ITS POLITICAL WEIGHT IN THE REGION. WE FELT THE CRISIS ENTIRELY; WE SHAPED NONE OF ITS RESOLUTION

The MoU helps India in three immediate ways. It reduces the threat to Hormuz. It lowers the risk of a wider regional war. And it returns the nuclear question to diplomacy rather than military escalation. All three serve Indian interests. But for India the lesson is larger than this one agreement. The crisis has exposed a strategic imbalance: India's dependence on West Asia far exceeds its political weight in the region. We felt the crisis entirely; we shaped none of its resolution. That asymmetry is the real strategic lesson here, one India's foreign policy establishment must urgently address.

Pakistan's role as a facilitator is also worth noting but not exaggerating. Islamabad has played its cards adroitly and gained diplomatic visibility. It has long positioned itself as a useful interlocutor between competing powers, including the US and China in the 1970s. But this does not alter the India-Pakistan balance. Pakistan's structural economic and internal problems remain. This is a tactical gain, not a strategic transformation.

The longer-term effect may be a gradual rebalancing in the Middle East. The US has already been trying since the Obama years to reduce its overcommitment to the region and focus more on Asia and China. If Gulf states conclude that America cannot by itself guarantee their security, they will hedge more actively. They will talk to Iran, China, Russia, Europe and India. Iran, if it emerges with recognised leverage over Hormuz and renewed oil flows, will be seen as a stronger regional player.

That is why this Memorandum of Understanding should be treated neither as surrender nor as peace. It is a window. It has opened a small space for diplomacy after a dangerous stalemate. But windows can close. Nuclear talks can fail. Israel can act. A militia can miscalculate. A tanker incident can reignite the crisis. The next 60 days will decide whether this is the beginning of a settlement or merely an intermission before the next confrontation. ■

The author is former permanent representative of India to the UN